

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

MODULE - 10

- CLASSIFICATION OF MSMEs
- 12 GIFTS TO MSMEs
- MSME SAMBANDH / SAMADHAAN
- STEPS TO IMPROVE COMPETITIVENESS

CLASSIFICATION OF MSMEs AS PER MSMED ACT, 2006



Activity of Enterprise	Manufacture / Production of Goods	Rendering of Services
Type of Investment	Plant and Machinery	Equipment
Micro Enterprise	up to Rs. 25 lakhs	up to Rs. 10 lakhs
Small Enterprise	more than Rs. 25 lakhs and up to Rs. 5 crores	more than Rs. 10 lakhs and up to Rs. 2 crores
Medium Enterprise	more than Rs. 5 crores and up to Rs. 10 crores	more than Rs. 2 crores and up to Rs. 5 crores

- ✓ The above cost excludes the cost of land and buildings.
- ✓ Micro, Small and Medium Enterprises come under priority sector lending.



MSME DEVELOPMENT (AMENDMENT) BILL, 2018



GOVERNMENT'S INTENTION

- Will encourage Ease of Doing Business.
- Will make norms of classification growth-oriented.
- Will align classification norms to the new tax regime revolving around GST.

1 The most significant provision is the proposed change in the decade old definition of MSME.

2 Now, under the micro enterprises tag, the companies will have annual sales turnover of less than or equal to Rs. 5 Cr, small, if they are more than Rs. 5 Cr, but does not exceed Rs. 75 Cr, and medium, if they are more than Rs. 75 Cr, but does not exceed Rs. 250 Cr

As per the 73rd round NSSO survey of 6.43 crores of unincorporated enterprises, 84% of these were own account enterprises, which did not employ even one worker.





Ministry of Micro, Small and Medium Enterprises,
Government of India

MSME
MICRO, SMALL & MEDIUM ENTERPRISES
सूक्ष्म, लघु एवं मध्यम उद्यम



सूक्ष्म एवं लघु उद्यम क्रेडिट गारंटी फंड ट्रस्ट

(भारत सरकार एवं सिडबी द्वारा स्थापित)
CREDIT GUARANTEE FUND TRUST FOR
MICRO AND SMALL ENTERPRISES
(SET UP BY GOVT. OF INDIA & SIDBI)

CGTMSE

- 1 This is to make bank credit available to micro and small enterprises without the hassles of collaterals / third party guarantees.
- 2 CGTMSE will make good the loss incurred by MSEs in case of failure up to a certain percentage of the credit.
- 3 Under the credit guarantee scheme, coverage of the loan increased from Rs. 1 crore to Rs. 2 crore.
- 4 The coverage will also extend to the loans given to MSEs by NBFCs also.
- 5 The corpus of the CGTMSE increased from Rs. 2,500 crore to Rs. 7,500 crore.



COLLATERAL



- **LENDER**
- **CREDITOR**



- **BORROWER**
- **DEBTOR**

COLLATERAL

This is the security given by the borrower while taking the loan



12 GIFTS TO THE MSME SECTOR



- 1** Some of them are –
 - Easy and cheaper credit
 - Relaxation in labour laws
 - Easier compliance with environmental rules
 - Changes in company laws
- 2** These are part of the recent Support and Outreach Programme.
- 3** The MSME Sector comprises 633 lakh units and created 11 Cr jobs.

The sector contributes to over 28% in GDP and over 48% in exports. The measures include access to credit, access to market, technology upgradation, ease of doing business, and a sense of security for employees.



1 ACCESS TO CREDIT**SOME OF THE FEATURES**

- 1** A dedicated portal for sanctioning loans up to Rs. 1 Cr in 59 mins by the PSBs was operationalized.



psbloansin **59** minutes.com

- 2** i. All GST-registered MSMEs will qualify for a 2% interest subvention on fresh or incremental loans up to Rs. 1 Cr.



- ii. Exporters, who receive loans in pre-shipment and post-shipment period will qualify for higher interest rebate from 3% to 5%.



1 ACCESS TO CREDIT

SOME OF THE FEATURES

- 3
- All companies with a turnover more than Rs. 500 Cr, must now compulsorily be brought on the Trade Receivables e-Discounting System (TReDS).
 - This will resolve their problems of cash cycle.



COMMENT

It will enable entrepreneurs to access credit from banks, based on their upcoming receivables.


Reliance
Industries Limited

TReDS

 **SBI**



2 ACCESS TO MARKETS

SOME OF THE FEATURES

- 4** Public sector companies, have been asked to compulsorily procure 25% (up from 20%) of their purchases from MSMEs.



COMMENT

This benefits MSMEs as the payments from Public Sector are prompt and timely.



- 5** Of this 25%, 3% must be reserved for women entrepreneurs.



COMMENT

It is expected to give boost to the women entrepreneurship.

- 6**
- All public sector undertakings of the Union Government must now compulsorily be a part of GeM.
 - They should also get all their vendors registered on GeM.



COMMENT

It streamlines the procurement process.



MSME SAMADHAAN ... DELAYED PAYMENT PORTAL



- It empowers Micro and Small enterprises across the country to directly register their cases relating to delayed payments by Central Ministries / Departments / CPSEs / State Governments.
- The Portal will give information about the pending payment of MSEs with individual CPSEs / Central Ministries / State Governments etc.

MSME SAMBANDH ... PUBLIC PROCUREMENT PORTAL



- The objective is to monitor the implementation of Public Procurement from MSEs by the Centre/Central Public Sector Enterprises.
- The Micro and Small Enterprises would be able to access the information about the products being procured by Centre/CPSEs.



1 MUDRA YOJANA



- 1 It aims to help micro enterprises i.e., non-corporate small business segment. It funds the unfunded.
- 2 It is a refinancing institution and does not lend directly to the micro enterprises / individuals.
- 3 It is a wholly owned subsidiary of SIDBI. It is registered as NBFC with Reserve Bank of India.
- 4 MUDRA loans can be availed from nearby branch office of a bank, NBFCs / MFIs.



2

ASPIRE



1

This is A Scheme for the Promotion of Innovation, Rural Industry and Entrepreneurship.

2

It facilitates setting up of 100 livelihood and 20 technology-related incubators, through the provision of Rs. 232 Cr in Union Budget 2018-19.



ASPIRE



3

PRIME MINISTER'S EMPLOYMENT GENERATION PROGRAMME



PMEGP

Prime Minister's Employment Generation
Programme



1

It was launched on 15th August, 2008.

2

It enables setting up of micro enterprises.

3

It gives credit-linked subsidy.



4

SFURTI



सत्यमेव जयते

Ministry of Micro, Small and Medium Enterprises,
Government of India



1

This is Scheme of Fund for Regeneration of Traditional Industries.

2

It is to develop industrial clusters.

3

This is to organize the traditional industries and artisans into clusters to make them competitive.



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